

FEDERAL MARITIME COMMISSION
Office of Administrative Law Judges

20230930-DK-BUTTERFLY-1, INC., *Complainant*

v.

BAL CONTAINER LINE CO., LIMITED, *Respondent*.

DOCKET NO. 25-01

Served: February 12, 2026

ORDER OF: Erin M. WIRTH, *Chief Administrative Law Judge*.

ORDER ON THIRD MOTION TO COMPEL

On December 19, 2025, Complainant 20230930-DK-Butterfly-1, Inc., formerly known as Bed Bath & Beyond Inc. (“BBBY”) filed its third motion to compel discovery (“Motion”) with a declaration and exhibits. On December 22, 2025, Respondent BAL Container Line Co., Limited (“BAL”) filed an unopposed motion to extend the deadline for the motion to compel response. On December 23, 2025, an email was sent to the parties stating: “Respondent's request for an extension until January 2, 2026, to respond to Complainant's motion to compel is approved. An order will be issued at a later date.” Good cause was provided for the brief extension and it is hereby approved. On January 2, 2026, Respondent filed its timely opposition to the motion (“Opposition”) with a declaration and exhibits.

Complainant seeks an order for Respondent to produce for deposition one or more corporate witnesses to testify about Complainant’s noticed corporate deposition topics 3, 4-6, and 8. Motion at 1. Complainant describes the timing of the parties’ discussions and argues that Respondent’s refusal to produce its designee to testify deprives Complainant of relevant discovery. Motion at 4-10.

BAL requests that BBBY’s motion to compel further corporate testimony be denied or, in the alternative, that any further deposition be ordered by written questions only. Opposition at 11-12. BAL argues that BBBY has obtained (and had the opportunity to obtain) more than sufficient testimony regarding detention and demurrage (topic 3); BBBY cannot compel testimony on topics BAL has no knowledge of (topics 4-6); and BBBY may not marshal the evidence by corporate deposition (topic 8). Opposition at 5-10.

Commission Rule 12 states that: “In proceedings under this part, for situations which are not covered by a specific Commission rule, the Federal Rules of Civil Procedure will be followed to the extent that they are consistent with sound administrative practice.” 46 C.F.R. § 502.12. Therefore, it is appropriate to consider Federal Rule of Civil Procedure 30(b)(6), which states that:

In its notice or subpoena, a party may name as the deponent a public or private corporation, a partnership, an association, a governmental agency, or other entity and must describe with reasonable particularity the matters for examination. The named organization must designate one or more officers, directors, or managing agents, or designate other persons who consent to testify on its behalf; and it may set out the matters on which each person designated will testify. Before or promptly after the notice or subpoena is served, the serving party and the organization must confer in good faith about the matters for examination. A subpoena must advise a nonparty organization of its duty to confer with the serving party and to designate each person who will testify. The persons designated must testify about information known or reasonably available to the organization. This paragraph (6) does not preclude a deposition by any other procedure allowed by these rules.

Fed. R. Civ. P. 30(b)(6).

Timing

BBBY conducted corporate depositions of two of BAL's employees. The dispute involves the corporate deposition of a third employee, Mr. Ye, who was scheduled to be deposed on December 9, 2025. Indeed, the individual deposition of Mr. Ye occurred, however, the parties were not able to agree to the topics for the corporate testimony. Ultimately, BAL offered that Mr. Ye could testify regarding portions of topic 3. BBBY declined to take Mr. Ye's deposition on that limited basis.

It appears that the parties had a busy deposition schedule, were managing time zone challenges, and that they both worked in good faith to resolve the dispute up to the day of Mr. Ye's personal deposition. However, due to time constraints, they were not able to resolve the dispute in time to complete the corporate deposition at the same time. Permitting the corporate deposition may impact the schedule and the parties have not proposed an amended schedule. However, cases should be decided on the merits and not by having the clock run out. Therefore, a potential need to amend the schedule will not be a basis to deny the requested deposition if it is otherwise warranted.

Topic 3

Topic 3 identifies as a matter for examination: "Your regulations, practices, policies, procedures, protocols, or strategies, or conditions established or enforced by You or on Your behalf, with respect to detention or demurrage charges." Motion, Exhibit A at 5. BAL initially objected that the "topic is vague, ambiguous, unduly burdensome and so overbroad as to be incomprehensible." Opposition, Exhibit B at 2. BBBY offered to amend this topic to: "Your regulations, practices, policies, procedures, protocols, or strategies, or conditions established or enforced by You or on Your behalf, with respect to detention or demurrage charges for the West Coast in 2021 and 2022." Opposition, Exhibit M at 1.

BAL states that the topic should have temporal and geographic limits. Motion at 5. Moreover, BAL contends that subparts with respect to detention and demurrage—regulations, practices, policies, procedures, protocols, strategies, or conditions—“are vague and overlap to the point of incomprehension.” Opposition at 5. BAL designated representatives to testify regarding BAL’s *detention* practices on the West Coast in 2021 and 2022 and BAL’s *demurrage* practices regarding the same. Motion at 6. They offered Mr. Ye to testify regarding BAL’s detention and demurrage *policies* on the West Coast in 2021 and 2022.

The claim here includes an alleged violation of section 41102(c). 46 U.S.C. § 41102(c); *see also* 46 C.F.R. §§ 545.4, 545.5. In addressing a recent section 41102(c) claim, the Commission recently stated:

The Commission determines whether a common carriers’ demurrage and detention policies for handling containerized cargo are unreasonable by applying the incentive principle explained in Rule 545.5(c) which means that it “consider[s] the extent to which demurrage and detention are serving their intended primary purposes as financial incentives to promote freight fluidity.” 46 C.F.R. § 545.5(c). Factors considering in making that assessment include: (1) whether “demurrage or free time” is related “to cargo availability for retrieval;” (2) whether detention fees apply to periods when empty containers cannot be returned; (3) when and how notice that cargo is available for retrieval is provided; and (4) whether the policies serve the intended purposes if cargo is held or detained for government inspection. *Id.*

The Commission also considers the reasonableness of common carriers’ demurrage and detention policies in a broader context by evaluating the policies’ accessibility and clarity, available dispute resolution procedures, information about points of contact, timeframes, and “corroboration requirements.” *Id.* § 545.5(d). It may also factor into its reasonableness analysis whether policy terms are clearly defined and whether the definitions differ from standard usage in other contexts. *Id.* § 545.5(e).

Bakerly, LLC v. Seafrigo USA, Inc., Docket No. 22-17, 2024 WL 4678461, at *21 (FMC Oct. 30, 2024). It is clear from this discussion that more than just an entity’s practices are relevant to adjudicating a section 41102(c) claim.

BAL has established that the request is overbroad without a temporal or geographic limitation. The topic is therefore limited to the West Coast in 2021 and 2022. While section 41102(c) specifically refers to “regulations and practices,” assessing reasonableness requires a consideration of any relevant factors, which could include procedures, protocols, strategies, or conditions. Moreover, that the terms may overlap is not a reason to not allow them. Therefore, BAL has not established that the following terms are vague: “regulations, practices, policies, procedures, protocols, or strategies, or conditions.” Topic 3 will be permitted as limited.

Topic 4-6

Topics 4 to 6 identify as matters for examination: “4. Your carriage—including via Intermediaries—of BBBY Cargo and Your related regulations, practices, policies, procedures, protocols, or strategies. 5. Issues affecting the flow of BBBY Cargo and Your related regulations, practices, policies, procedures, protocols, or strategies. 6. Your regulations, practices, policies, procedures, protocols, or strategies for working with Intermediaries.” Complainant Exhibit A at 5. For topics 4, 5, and 6, BAL initially objected to each, stating that the topics were “vague, ambiguous, unduly burdensome and so overbroad as to be incomprehensible.” Opposition, Exhibit B at 2.

BBBY offered to amend the topics to: (4) Your carriage—including via Intermediaries — of BBBY Cargo, and Your regulations, practices, policies, procedures, protocols, or strategies *related to Your carriage of BBBY Cargo*; (5) Issues affecting the flow of BBBY Cargo, and Your regulations, practices, policies, procedures, protocols, or strategies *related to issues affecting Your carriage of BBBY Cargo*; and (6) Your regulations, practices, policies, procedures, protocols, or strategies for working with Intermediaries *for Your carriage of BBBY Cargo*.” Opposition, Exhibit M at 1 (emphasis added to highlight changes).

BAL objects that “prior to BBBY’s initiation of this proceeding, BAL had no way of ascertaining which containers contained BBBY cargo.” However, BAL now knows which containers belonged to BBBY and can determine which regulations, practices, policies, procedures, protocols, or strategies would have impacted those shipments.

The first motion to compel in this case addressed a number of Complainant’s interrogatories regarding the flow of cargo. That order stated that: “None of these requests are limited to the cargo at issue and it is not clear how delays for other cargo would be relevant to the issues in this proceeding.” Order on Complainant’s Motion to Compel at 10 (July 16, 2025). These three topics as amended, however, are limited to BBBY Cargo, which is relevant to the detention and demurrage charges.

BAL also contends that it has already produced its analysis of BBBY’s data and that BBBY should not have another bite at this apple. Opposition at 10. BAL has provided corporate representatives to testify about demurrage and detention practices. However, it has not provided corporate testimony regarding detention and demurrage regulations, practices, policies, procedures, protocols, or strategies related to issues affecting BAL’s carriage of BBBY Cargo. That some of the data may have been already provided does not obviate the right to obtain corporate testimony on these issues.

BBBY has established a basis to compel corporate testimony regarding topics 4-6 as amended.

Topic 8

Topic 8 identifies as a matter for examination: “The claims at issue in this case relating to detention and demurrage charges imposed on BBBY, and your defenses.” Complainant Exhibit

A at 5. BAL initially objected that this topic is “vague, ambiguous, unduly burdensome and calls for a legal conclusion.” Opposition, Exhibit B at 3. BBY noted that BAL proposed a similar topic and requested how BAL would propose to modify it. Opposition, Exhibit M at 2.

BAL has established that this request is overbroad and vague. It is not clear what information the corporate representative would be able to provide regarding BBY’s claims. Moreover, the request is too broad regarding what the representative would be expected to know about BAL’s defenses. Accordingly, the motion to compel a response to topic 8 is denied.

Conclusion

For the reason identified above, the motion to compel will be granted in part and denied in part. BAL also requests that if testimony is compelled, that it be by written questions only. Given that some of the topics to be covered, such as BAL’s policies, are central to the issues in the proceeding, written questions will not be sufficient. However, given the travel required to complete the deposition, the parties will be permitted additional time to complete the remaining deposition.

Upon consideration of the record herein, the arguments of the parties, and the conclusions and findings set forth above, it is hereby **ORDERED** that Complainant’s third motion to compel be **GRANTED IN PART AND DENIED IN PART**. Topics 3-6 are compelled as amended. The parties must submit by February 24, 2026, a proposed amended schedule, if one is needed.


Erin M. Wirth
Chief Administrative Law Judge